

VARUN KAPOOR

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Education

Harvard University, Academy Scholar at Area and International Studies	August 2025 –
University of Chicago, Ph.D. Economics	2019–2025
Indian Institute of Management, Calcutta, MBA	2015–2017
Indian Institute of Technology, Roorkee, B.Tech	2009–2013

References

Professor Michael Kremer University of Chicago Kenneth C. Griffin Department of Economics kremermr@uchicago.edu	Professor Emily Breza Harvard University Department of Economics ebreza@fas.harvard.edu
Professor James Robinson University of Chicago Harris School of Public Policy jamesrobinson@uchicago.edu	Professor Arun Chandrasekhar Stanford University Department of Economics arungc@stanford.edu

Research and Teaching Fields

Primary:	Labor, Development
Secondary:	Environment, Political Economy

Job Market Paper

Why Do Firms Hire Migrant Workers? (with Chinmaya Kumar)

Abstract: Millions of workers migrate in search of better opportunities. Migrants, in comparison to local workers, are less embedded in employment institutions of destination labor markets, which may create differences in their outside options, ability to enforce claims, and access to social protection. We study how these differences shape demand for migrant labor using three field experiments and two incentivized belief experiments with construction firms and workers in Patna, India. In the first field experiment, firms receive real offers to hire either local or migrant workers for the same job. At the prevailing market wage, demand for migrants is 78.7% higher than demand for locals, and firms' average WTP is 12.7% higher for a migrant. We then use incentivized experiments to decompose the migrant premium into three margins and assess the value of on-site housing. The largest margin is reliability: migrants' lower absenteeism and reneging risk account for 39.8% of the premium. The ability to extract longer unpaid workdays accounts for 29.3%; higher effort per hour accounts for the remaining 30.9%. When firms cannot house workers on site, the demand premium falls from 78.7% to 56%, indicating that on-site residence is valued because it gives firms greater control over labor input. In the first incentivized belief experiment, firms expect migrants to work longer hours, miss fewer days, and exert higher effort, especially when migrants live on site. Workers recognize these conditions. In a second incentivized belief experiment, both migrant and local workers expect migrants to face more unpaid extra work, more wage theft, and weaker recourse than locals. In a real-stakes job-offer experiment, migrants

forgo meaningful daily wages for insurance against wage theft, dispute mediation, and an outside-option guarantee. Finally, in a placement experiment matching workers to firms from the experimental sample, migrants complete more contract days and work longer unpaid extra hours than local workers. Together, these results indicate that firms value migrants for the control over labor input afforded by the employment relationship and as a consequence the expected return to migration might be lower than what the rural-urban wage gaps may suggest.

Conferences: SITE 2026 (Social Structure and Economic Development); BREAD-CEPR Development Economics Annual Symposium 2026; Firms, Trade and Development 2026; 9th Banca d'Italia-CEPR Workshop: Labour market policies and institutions.

Working Papers

Wage Theft, Reneging and Liquidity Constraints in Informal Labor Markets

Abstract: Informal labor markets in low- and middle-income countries are characterized by high unemployment and job turnover, despite high labor demand. I conduct three field experiments to examine how frictions arising from wage theft, worker reneging and liquidity constraints lead to a mismatch in workers' labor supply and firms' labor demand in these markets. In the first experiment, 1,360 workers receive real job offers on either flat contracts (paid daily), which reduce wage theft concerns and worker liquidity constraints, or back-loaded contracts (paid at end of contract), which don't. To isolate the effects of wage theft concerns I cross-randomize these contracts with an insurance contract. I find that labor supply is three times larger for flat contracts. This preference is driven by workers' fears of wage theft by firms (28%), liquidity constraints (22%), and demand for flexibility to break contracts (50%). This flexibility captures an option value, protecting workers from income loss in the event of future shocks or excess work exaction by firms under back-loaded contracts. The costs of these frictions are high—72% of workers who reject job offers end up earning less income than those offers would have provided. In the second experiment, I make real offers to hire workers on either flat or back-loaded contracts to 349 firms. The firms' labor demand doubles for back-loaded contracts, driven by liquidity constraints (37%) and costs associated with worker reneging (63%) in flat contracts. In a third experiment, firms and workers who accepted contracts in the first two experiments are matched with each other. Workers are 69% more likely to complete back-loaded contracts compared to flat contracts, which have a completion rate of 34% and thereby impose significant costs on firms. Firms exact longer working hours from workers in back-loaded contracts, validating the workers' concerns. My findings suggest that improving contract enforcement and providing credit to firms can reduce welfare losses in equilibrium and improve efficiency.

Conferences: NBER SI (Development) 2025; CEPR Development Economics Annual Symposium 2025; G²LM—LIC/path2dev/BREAD Conference on Development Economics; 21st Century India Center (UCSD); PEDL 15th Anniversary Conference; APU.

Occupational Stigma, Labor Supply and Worker Migration (with Chinmaya Kumar)

Abstract: How does occupational stigma affect labor supply and thereby shape the spatial allocation of workers in the labor market? We first show that manual labor is more stigmatized among Upper and Backward caste groups than among Extremely Backward and Scheduled caste groups. We exploit this variation in a field experiment with workers in rural India. Respondents receive otherwise identical offers for construction jobs located in their own village, in a village in a nearby panchayat, and in the city. Relative to a job in their own village, acceptance of a job in a nearby panchayat is 10.4 higher among the higher-stigma group, but does not change among the lower-stigma group. This pattern indicates that labor supply responds to occupational stigma. For jobs in the city, the corresponding difference-in-differences in acceptance is 29.4 ppt., and part of this difference is driven by a decline in acceptance among the lower-stigma group. While this city-village difference is not entirely attributable to stigma, we show that the nearby-panchayat-village difference provides a lower bound on its stigma-driven component. Importantly, the two groups report similar perceived probabilities of being observed

by members of their reference group across the three locations. Heterogeneity analysis further shows that the spatial differential in labor supply is larger among respondents who themselves report greater stigma toward manual work. An additional experiment with migrant workers recruited at urban labor stands yields the same qualitative pattern in labor supply, and suggests that these migrant workers are more stigmatized than the village sample. Together, these results show that occupational stigma creates a social incentive for workers to move across space.

Negotiations and Undercutting in Low Wage Labor Markets

Abstract: Millions of workers in low- and middle-income countries seek low-skilled employment through informal spot markets in urban areas. Using detailed micro-data from spot markets in India, this paper examines firm-worker wage negotiations and the determinants of undercutting behavior. Despite high unemployment, workers undercut each other in only 27% of negotiations. The likelihood of undercutting varies systematically with contract type, which is strongly correlated with job type: multi-task jobs are predominantly offered under fixed-hour contracts, while single-task jobs are typically offered under Fixed Work contracts, where pay is based on task completion regardless of hours worked. Workers are nearly twice as likely to undercut in negotiations for Fixed Work contracts compared to Fixed Hour contracts. We explain this pattern using a model in which workers' reservation wages depend on the value of leisure, with effort choices, shaped by ability, determining attainable leisure time. This mechanism generates greater dispersion in reservation wages for contracts without fixed hours. The model predicts, and the data confirm, that undercutting is more likely for jobs in which the reservation wage distribution is more dispersed, as measured by the variance. These findings shed light on wage-setting mechanisms in low-wage labor markets and show how job characteristics and workers' belief structures jointly shape negotiation outcomes.

Social Engineering through Schools (with Anirvan Chowdhury, Aaditya Dar and Chinmaya Kumar)

Abstract: We study how schools embed themselves in communities and, in doing so, function as instruments of social engineering that influence political and cultural change. Our focus is on schools run by the Rashtriya Swayamsevak Sangh (RSS), a Hindu nationalist volunteer organization. We compile new data on the establishment years and locations of these schools and link it to constituency-level electoral outcomes for the Bharatiya Janata Party (BJP), India's dominant right-wing party. Using a staggered difference-in-differences design, we find that the presence of RSS schools leads to a persistent rise in BJP vote share and a higher probability of BJP victories in subsequent elections. These schools also lead to cultural change. Vegetarianism rises in nearby villages, especially among upper-caste households, the traditional supporters of the BJP. The share of children given Hindu deity names, particularly those of the Vaishnavite pantheon, increases in affected areas after the setting up of schools. Together, these patterns point to a process of gradual identity activation through sustained community engagement. To examine the mechanisms in greater detail, we survey a random subsample of RSS-run and non-RSS private schools across four districts in Bihar. The survey results indicate that, relative to close-by non-RSS private schools, RSS schools are substantially more likely to engage in Hindu religious programming as well as community engagement that involves not only students but also parents and local communities.

Conferences: NEUDC 2025; 20th Annual Conference on Economic Growth and Development at ISI 2025; MWIEDC 2026; MPSA 2026; APSA 2026; Harvard-Brown South Asia Politics Seminar.

Environmental Degradation in One's Own Backyard: Who Gains and Who Loses from Sand Mining in India (with Sushant Banjara, Claire Fan and Katie Zhang)

Abstract: Sand, the backbone of modern construction, makes up 85% of global mineral extraction. Its large-scale removal—especially from fragile river ecosystems—has raised serious environmental concerns, particularly in developing countries experiencing construction booms and lacking strong environmental regulation. Yet, the full extent of these effects, their social and economic consequences, and

how they are distributed across communities remain poorly understood. This project combines novel administrative data with satellite imagery in a difference-in-differences framework to estimate the causal impacts of sand mining in Bihar, India. We find that sand mining increases flood inundation rates and flood frequency by 1.5 and 2 percentage points, respectively, from a baseline of 10%. Agricultural output, measured by vegetation index, declines by 5%. Despite these environmental costs, sand mining raises local income—proxied by nightlight intensity—by 10–20% in nearby villages. Income gains are broadly distributed within villages, reaching both ex-ante wealthier and poorer households, but are concentrated among socially dominant groups, particularly upper castes and OBCs. These findings help explain why sand mining continues with local support despite environmental harm and regulatory efforts. The unequal balance of economic benefits on social groups highlights the need for targeted policies—those that mitigate flooding, ensure sustainable mining, and compensate marginalized communities bearing the brunt of net harm.

Conferences: MWIEDC (UIUC), Interdisciplinary PhD Workshop in Sustainable Development (Columbia), LSE Environment Camp, Workshop on Contemporary Political Economy (APU Bhopal)

Trust Failures and Decarbonization: Evidence from India’s Electric Two-Wheeler Market

Abstract: Electric two-wheelers offer a promising path to decarbonizing transport in lower- and middle-income countries, but uncertainty about product reliability and after-sales service may slow their adoption. We examine whether the 2024 service-quality crisis at Ola Electric, then India’s largest electric two-wheeler manufacturer, affected demand for non-Ola electric vehicles. To determine whether the crisis affected adoption beyond Ola, we exploit geographic variation in the firm’s pre-crisis installed base using administrative registration data from 886 Regional Transport Offices. A triple-difference design compares non-Ola electric two-wheelers with internal-combustion two-wheelers within the same local market, while synthetic difference-in-differences compares highly exposed markets with weighted lower-exposure markets that followed similar pre-crisis trajectories. After the crisis, non-Ola electric registrations grew more slowly relative to internal-combustion registrations in places with higher pre-study window exposure to Ola sales. In the most exposed markets, non-Ola registrations were 17 percent below their synthetic counterfactual during the following year, and total electric registrations were 12 percent lower. Rather than shifting demand toward competitor brands, the market leader’s service failures degraded consumer confidence in the technology category as a whole. These findings demonstrate that firm-level service reliability and brand reputation directly constrain clean-technology diffusion, exposing structural vulnerabilities in transition policies that concentrate rapid expansion among a small cohort of early movers.

The Automation Bargain under Worker Constraints (with Raman Singh Chhina)

Abstract: Progress in enabling machines to perform an expanding range of manual tasks depends on task-level data that encode how those tasks are carried out. Generating these data requires workers to record their actions as they perform their jobs. Workers thus supply a key input into the creation of labor-substituting capital, potentially facilitating their own displacement and shaping how the gains from automation are divided between labor and capital. We study how workers make this decision and show that it is shaped by information asymmetry over the downstream use of their data and by weak worker bargaining power. In a survey experiment with factory workers in India, we elicit the minimum additional daily payment workers require to make first-person recordings of their work for two weeks and randomize whether they are informed that the resulting footage will be used to train a machine that could replace them. On average, workers require an additional day’s wage for each day of recording. Disclosure raises this reservation price by around 30 percent. Combining this premium with workers’ own beliefs about anticipated displacement losses yields a benchmark cost nearly ten times as large as the premium they demand. We show that this low premium can be partly explained by employer power: workers ask for about 6 percent less when the request comes from their own employer rather than an outside research organization and are more likely to report that refusing their employer’s request would create problems. The remaining gap is consistent with workers viewing their individual participation as non-pivotal when

firms can obtain equivalent training data from others. The findings reveal a distributional margin in the AI transition that standard models of automation overlook: information asymmetry depresses workers' reservation prices for automation-training data, giving firms scope to capture a larger share of the gains from automation—an advantage compounded by workers' replaceability as data suppliers and weak bargaining positions.

The Direct and Spillover Impacts of Gender Quotas in Public Sector Employment (with Niharika Singh)

Abstract: Expanding women's access to stable economic opportunities remains a central policy challenge in many countries around the world. Can gender quotas help? We provide new evidence on the short- and long-run impacts of gender quotas in public sector employment in India. Leveraging cohort-level exposure to state-level gender quotas adopted over the last forty years, we report three main findings. First, quota exposure increases the likelihood of public employment for women, especially for those with high levels of education prior to quota implementation. Second, in the short-run, there is no increase in other private employment; in the long-run, however, women are more likely to be employed in the formal private sector, though there is no effect on overall employment. Third, quotas lead to greater educational investments, with women more likely to become secondary school and college graduates. Together, these results show that gender quotas in public employment can catalyze human capital investments and shift women towards better jobs, though they may not increase overall female labor force participation.

Indirect Rule and the Unequal Burden of Persistence: Evidence from Hyderabad

Abstract: We study the distributional consequences of colonial institutions by analyzing the effect of direct and indirect rule on the outcomes of historically disadvantaged and advantaged caste groups across the border of Hyderabad, the largest princely state in colonial India, using a border discontinuity design. We find that disadvantaged caste groups in indirectly ruled areas have 1.4 fewer years of schooling and significantly less wealth than similar groups in direct rule areas. A similar analysis for Advantaged caste suggests that they have less wealth and small but insignificant differences in education. Cross-caste wealth inequality and land inequality are higher in indirectly ruled areas. Differences in extent of agricultural labor repression, as measured by agricultural wages and bonded labor, led to the emergence of these differences during the colonial era. Differential growth in credit institutions after independence negatively affected productivity in indirectly ruled areas. As a result, farmers in these areas have larger non-institutional debt than directly ruled areas, and disadvantaged caste farmers drive this effect.

Work in Progress

Green Menace? E-Rickshaws, Congestion and Pollution (Draft in Preparation)

Conferences: Cities and Development workshop (Harvard)

The Political Consequences of Depoliticization: Evidence from Student Election Bans in India (with Anirvan Chowdhury)

Agricultural Suitability, Social Structure and Social Movements: Evidence from Tamil Nadu (with Kalaiyarasan A)

Third-Party Oversight in Informal Labor Contracts (with Marianne Bertrand and Chinmaya Kumar)

Algorithmic (In)Transparency, Worker Rights and Bans in the 'Gig' Economy (with Ragini Jain, Chinmaya Kumar and Shivani Pande)

Grants

J-PAL JOI (with Marianne Bertrand and Chinmaya Kumar)

Weiss Fund × 7

2021, 2023, 2024, 2025, 2026

Development Economics Research Fund at the University of Chicago $\times$ 4	2022-2024
Pearson Institute Research and Innovation Fund $\times$ 3	2022-2024
Library data grant (with Fern Ramoutar)	2022
EPIC India	2023
EPIC India (with Sushant Banjara and Claire Fan)	2023
Pearson Institute Research and Innovation Fund (with Sushant Banjara and Claire Fan)	2024
Weiss Fund (with Sushant Banjara and Claire Fan)	2025

Teaching Experience

Microeconomics - II (undergraduate)		Winter 2022
Development Economics (graduate)	TA for Prof. Michael Kremer	Fall 2021, 2023
Behavioral Development Economics (graduate)	TA for Prof. Anne Karing	Spring 2022

Research Experience and Other Employment

Research Assistant for Prof. Michael Kremer, University of Chicago	2021
Research Assistant, J-Pal South Asia	2017-2019

Professional Experience

Conferences (co-authors ⁺)	2024: NEUDC 2025: MWIEDC (UIUC); MWIEDC (UIUC) ⁺ ; NBER SI (Development); Interdisciplinary PhD Workshop in Sustainable Development (IPWSD) ⁺ ; LSE Environment Camp ⁺ ; CEPR Development Economics Annual Symposium; G ² LM—LIC/path2dev/BREAD Conference on Development Economics; MIT; Harvard Academy; Cities and Development (Harvard); NEUDC ⁺ . 2026: Azim Premji University; 21 st Century India Center (UCSD); LSE; Inter-group Conflict and Cooperation in India (Yale) ⁺ ; PEDL 15 th Anniversary Conference (Oxford); MWIEDC; MPSA ⁺ ; APSA ⁺ ; SEEDS (Georgia Tech) ⁺ ; SITE (Social Structure and Economic Development); BREAD-CEPR Development Economics Annual Symposium 2026 (Zurich); Firms, Trade and Development 2026; Joint Seminar on South Asian Politics (Brown); 9th Banca d'Italia-CEPR Workshop: Labour market policies and institutions; Tufts.
Refereeing Activity	<i>American Economic Journal: Applied Economics, American Economic Journal: Economic Policy, Economic Modelling, The Economic Journal.</i>

Additional Information

Citizenship	India
Programming Skills	R, Stata, Python, Julia, Java, C++
Languages	Hindi, English, Punjabi